

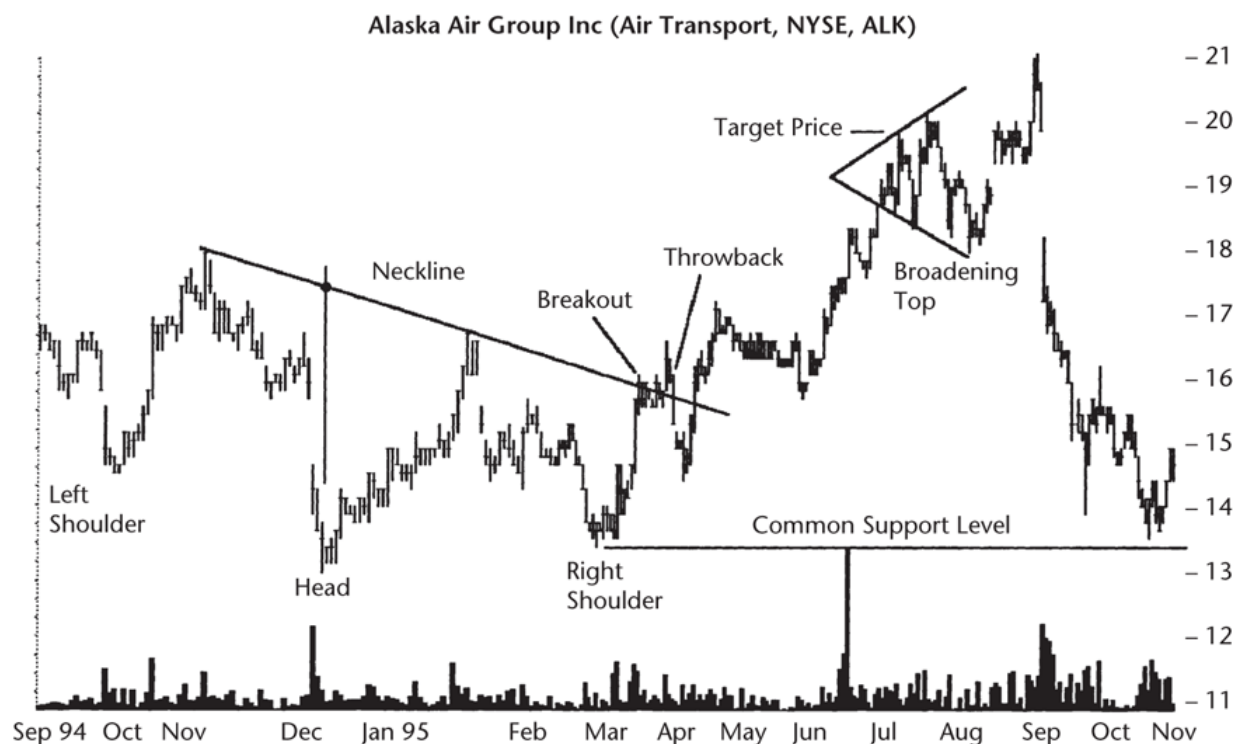


Figure 39.6 A head-and-shoulders bottom. Compute the measure rule by subtracting the lowest low from the neckline vertically to find the formation height. Add the height to the breakout price. The result is the target price to which the stock may climb. A broadening top appears in July, near the target.

For over a week, the stock did fine. Price slowly moved up and reached a high of 16.63, then reversed. The stock threw back to the neckline and continued lower. Suddenly, he was losing money. “Should I sell and take a loss or hang on because I knew the stock was going higher? That question kept me awake at night.”

He decided to tough it out. The stock bottomed at 14.50 and quickly recovered. It reached a higher high and then moved sideways for over a month, drifting slightly lower. “I wasn't worried because I was making money now, not a lot, but some. I was sleeping better, too.”

During the summer, things heated up for the airline and the stock took off. Almost on a daily basis, it flew higher, making new highs. A bearish broadening top appeared, but Bob did not know about such things. He felt giddy in the thin atmosphere in which the stock was flying. The stock entered the clouds at 21.38.